

I. THE PARTIES

This Mortgage Loan Agreement ("Agreement") made this ____ , 20 __ , is between:

- Borrower: Robert Garcia, with a mailing address of 123 Main St, Anytown, USA ("Borrower") and agrees to borrow money from:
- Lender: Subprime Mortgage Co, with a mailing address of 789 Fast St, Anytown, USA, and agrees to lend money to the Borrower under the following terms:

II. LOAN AMOUNT

The total amount of money being borrowed from the Lender to the Borrower is \$250,000 ("Borrowed Money").

III. INTEREST RATE

The Borrowed Money shall: (check one)

- ☐ - Bear Interest. The Borrowed Money shall bear interest at a rate of 8% adjustable (up to 15%) compounded: (check one)
 - ☐ - Annually
 - ☐ - Monthly
 - ☐ - Other: ____
- ☐ - NOT Bear Interest.

IV. TERM

The total amount of the Borrowed Money, including principal and interest, shall be due and payable on ____ , 20 __ ("Due Date").

V. PAYMENTS

The Borrower agrees to repay the Borrowed Money to the Lender under the following payment schedule: (check one)

- ☐ - Weekly Payments. The Borrower agrees to repay the Lender a payment of \$ ____ on the ____ of each week until the Due Date.
- ☐ - Monthly Payments. The Borrower agrees to repay the Lender a payment of \$1,834.41 (initial) on the 1st of each month until the Due Date.
- ☐ - Lump Sum. The Borrower agrees to repay the Lender, in full, on the Due Date.

VI. FEES AND CHARGES

- Origination fee: 3% (\$7,500)
- Application Review Fee: \$800

VII. LATE PAYMENT

A late payment fee of \$100 will be charged after 10 days.

VIII. DEFAULT CONDITIONS

Default occurs after 60 days of non-payment, at which point the entire balance becomes due.

IX. PREPAYMENT TERMS

A prepayment penalty of 3% if refinanced within 5 years.

X. GOVERNING LAW

This Agreement shall be governed by the laws of the State of New York.

XI. SIGNATURES

Borrower: _____ (Robert Garcia)

Lender: _____ (Subprime Mortgage Co)